

COMMITTEE ON WAYS & MEANS
HOUSE OF REPRESENTATIVES AMENDMENTS TO S.B. 1430
(Reference to Senate engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 42-5061, Arizona Revised Statutes, is amended to
3 read:

4 42-5061. Retail classification; definitions

5 A. The retail classification is comprised of the business of
6 selling tangible personal property at retail. The tax base for the retail
7 classification is the gross proceeds of sales or gross income derived from
8 the business. The tax imposed on the retail classification does not apply
9 to the gross proceeds of sales or gross income from:

10 1. Professional or personal service occupations or businesses that
11 involve sales or transfers of tangible personal property only as
12 inconsequential elements.

13 2. Services rendered in addition to selling tangible personal
14 property at retail.

15 3. Sales of warranty or service contracts. The storage, use or
16 consumption of tangible personal property provided under the conditions of
17 such contracts is subject to tax under section 42-5156.

18 4. Sales of tangible personal property by any nonprofit
19 organization organized and operated exclusively for charitable purposes
20 and recognized by the United States internal revenue service under section
21 501(c)(3) of the internal revenue code.

22 5. Sales to persons engaged in business classified under the
23 restaurant classification of articles used by human beings for food, drink
24 or condiment, whether simple, mixed or compounded.

25 6. Business activity that is properly included in any other
26 business classification that is taxable under this article.

27 7. The sale of stocks and bonds.

1 8. Drugs and medical oxygen, including delivery hose, mask or tent,
2 regulator and tank, if prescribed by a member of the medical, dental or
3 veterinarian profession who is licensed by law to administer such
4 substances.

5 9. Prosthetic appliances as defined in section 23-501 and as
6 prescribed or recommended by a health professional who is licensed
7 pursuant to title 32, chapter 7, 8, 11, 13, 14, 15, 16, 17 or 29.

8 10. Insulin, insulin syringes and glucose test strips.

9 11. Prescription eyeglasses or contact lenses.

10 12. Hearing aids as defined in section 36-1901.

11 13. Durable medical equipment that has a centers for medicare and
12 medicaid services common procedure code, is designated reimbursable by
13 medicare, is prescribed by a person who is licensed under title 32,
14 chapter 7, 8, 13, 14, 15, 17 or 29, can withstand repeated use, is
15 primarily and customarily used to serve a medical purpose, is generally
16 not useful to a person in the absence of illness or injury and is
17 appropriate for use in the home.

18 14. Sales of motor vehicles to nonresidents of this state for use
19 outside this state if either of the following applies:

20 (a) The motor vehicle dealer ships or delivers the motor vehicle to
21 a destination out of this state.

22 (b) The vehicle, trailer or semitrailer has a gross vehicle weight
23 rating of more than ten thousand pounds, is used or maintained to
24 transport property in the furtherance of interstate commerce and otherwise
25 meets the definition of commercial motor vehicle as defined in section
26 28-5201.

27 15. Food, as provided in and subject to the conditions of article 3
28 of this chapter and sections 42-5074 and 42-6017.

29 16. Items purchased with United States department of agriculture
30 coupons issued under the supplemental nutrition assistance program
31 pursuant to the food and nutrition act of 2008 (P.L. 88-525; 78 Stat. 703;
32 7 United States Code sections 2011 through 2036b) by the United States
33 department of agriculture food and nutrition service or food instruments
34 issued under section 17 of the child nutrition act (P.L. 95-627;
35 92 Stat. 3603; P.L. 99-661, section 4302; P.L. 111-296; 42 United States
36 Code section 1786).

37 17. Textbooks by any bookstore that are required by any state
38 university or community college.

39 18. Food and drink to a person that is engaged in a business that
40 is classified under the restaurant classification and that provides such
41 food and drink without monetary charge to its employees for their own
42 consumption on the premises during the employees' hours of employment.

43 19. Articles of food, drink or condiment and accessory tangible
44 personal property to a school district or charter school if such articles
45 and accessory tangible personal property are to be prepared and served to
46 persons for consumption on the premises of a public school within the
47 district or on the premises of the charter school during school hours.

1 20. Lottery tickets or shares pursuant to title 5, chapter 5.1,
2 article 2.

3 21. The sale of cash equivalents and the sale of precious metal
4 bullion and monetized bullion ~~to the ultimate consumer~~, but the sale of
5 coins or other forms of money for manufacture into jewelry or works of art
6 is subject to the tax and the gross proceeds of sales or gross income
7 derived from the redemption of any cash equivalent by the holder as a
8 means of payment for goods or services that are taxable under this article
9 is subject to the tax. For the purposes of this paragraph:

10 (a) "Cash equivalents" means items or intangibles, whether or not
11 negotiable, that are sold to one or more persons, through which a value
12 denominated in money is purchased in advance and may be redeemed in full
13 or in part for tangible personal property, intangibles or services. Cash
14 equivalents include gift cards, stored value cards, gift certificates,
15 vouchers, traveler's checks, money orders or other instruments, orders or
16 electronic mechanisms, such as an electronic code, personal identification
17 number or digital payment mechanism, or any other prepaid intangible right
18 to acquire tangible personal property, intangibles or services in the
19 future, whether from the seller of the cash equivalent or from another
20 person. Cash equivalents do not include either of the following:

21 (i) Items or intangibles that are sold to one or more persons,
22 through which a value is not denominated in money.

23 (ii) Prepaid calling cards or prepaid authorization numbers for
24 telecommunications services made taxable by subsection P of this section.

25 (b) "Monetized bullion" means coins and other forms of money that
26 are manufactured from gold, silver or other metals and that have been or
27 are used as a medium of exchange in this or another state, the United
28 States or a foreign nation.

29 (c) "Precious metal bullion" means precious metal, including gold,
30 silver, platinum, rhodium and palladium, that has been smelted or refined
31 so that its value depends on its contents and not on its form.

32 22. Motor vehicle fuel and use fuel that are subject to a tax
33 imposed under title 28, chapter 16, article 1, sales of use fuel to a
34 holder of a valid single trip use fuel tax permit issued under section
35 28-5739, sales of aviation fuel that are subject to the tax imposed under
36 section 28-8344 and sales of jet fuel that are subject to the tax imposed
37 under article 8 of this chapter.

38 23. Tangible personal property sold to a person engaged in the
39 business of leasing or renting such property under the personal property
40 rental classification if such property is to be leased or rented by such
41 person.

42 24. Tangible personal property sold in interstate or foreign
43 commerce if prohibited from being so taxed by the constitution of the
44 United States or the constitution of this state.

45 25. Tangible personal property sold to:

46 (a) A qualifying hospital as defined in section 42-5001.

1 (b) A qualifying health care organization as defined in section
2 42-5001 if the tangible personal property is used by the organization
3 solely to provide health and medical related educational and charitable
4 services.

5 (c) A qualifying health care organization as defined in section
6 42-5001 if the organization is dedicated to providing educational,
7 therapeutic, rehabilitative and family medical education training for
8 blind and visually impaired children and children with multiple
9 disabilities from the time of birth to age twenty-one.

10 (d) A qualifying community health center as defined in section
11 42-5001.

12 (e) A nonprofit charitable organization that has qualified under
13 section 501(c)(3) of the internal revenue code and that regularly serves
14 meals to the needy and indigent on a continuing basis at no cost.

15 (f) For taxable periods beginning from and after June 30, 2001, a
16 nonprofit charitable organization that has qualified under section
17 501(c)(3) of the internal revenue code and that provides residential
18 apartment housing for low-income persons over sixty-two years of age in a
19 facility that qualifies for a federal housing subsidy, if the tangible
20 personal property is used by the organization solely to provide
21 residential apartment housing for low-income persons over sixty-two years
22 of age in a facility that qualifies for a federal housing subsidy.

23 (g) A qualifying health sciences educational institution as defined
24 in section 42-5001.

25 (h) Any person representing or working on behalf of another person
26 described in subdivisions (a) through (g) of this paragraph if the
27 tangible personal property is incorporated or fabricated into a project
28 described in section 42-5075, subsection P.

29 26. Magazines or other periodicals or other publications by this
30 state to encourage tourist travel.

31 27. Tangible personal property sold to:

32 (a) A person that is subject to tax under this article by reason of
33 being engaged in business classified under section 42-5075 or to a
34 subcontractor working under the control of a person engaged in business
35 classified under section 42-5075, if the property so sold is any of the
36 following:

37 (i) Incorporated or fabricated by the person into any real
38 property, structure, project, development or improvement as part of the
39 business.

40 (ii) Incorporated or fabricated by the person into any project
41 described in section 42-5075, subsection P.

42 (iii) Used in environmental response or remediation activities
43 under section 42-5075, subsection B, paragraph 6.

44 (b) A person that is not subject to tax under section 42-5075 and
45 that has been provided a copy of a certificate under section 42-5009,
46 subsection L, if the property so sold is incorporated or fabricated by the

1 person into the real property, structure, project, development or
2 improvement described in the certificate.

3 28. The sale of a motor vehicle to a nonresident of this state if
4 the purchaser's state of residence does not allow a corresponding use tax
5 exemption to the tax imposed by article 1 of this chapter and if the
6 nonresident has secured a special ninety day nonresident registration
7 permit for the vehicle as prescribed by sections 28-2154 and 28-2154.01.

8 29. Tangible personal property purchased in this state by a
9 nonprofit charitable organization that has qualified under section
10 501(c)(3) of the United States internal revenue code and that engages in
11 and uses such property exclusively in programs for persons with mental or
12 physical disabilities if the programs are exclusively for training, job
13 placement, rehabilitation or testing.

14 30. Sales of tangible personal property by a nonprofit organization
15 that is exempt from taxation under section 501(c)(3), 501(c)(4) or
16 501(c)(6) of the internal revenue code if the organization is associated
17 with a major league baseball team or a national touring professional
18 golfing association and no part of the organization's net earnings inures
19 to the benefit of any private shareholder or individual. This paragraph
20 does not apply to an organization that is owned, managed or controlled, in
21 whole or in part, by a major league baseball team, or its owners,
22 officers, employees or agents, or by a major league baseball association
23 or professional golfing association, or its owners, officers, employees or
24 agents, unless the organization conducted or operated exhibition events in
25 this state before January 1, 2018 that were exempt from taxation under
26 section 42-5073.

27 31. Sales of commodities, as defined by title 7 United States Code
28 section 2, that are consigned for resale in a warehouse in this state in
29 or from which the commodity is deliverable on a contract for future
30 delivery subject to the rules of a commodity market regulated by the
31 United States commodity futures trading commission.

32 32. Sales of tangible personal property by a nonprofit organization
33 that is exempt from taxation under section 501(c)(3), 501(c)(4),
34 501(c)(6), 501(c)(7) or 501(c)(8) of the internal revenue code if the
35 organization sponsors or operates a rodeo featuring primarily farm and
36 ranch animals and no part of the organization's net earnings inures to the
37 benefit of any private shareholder or individual.

38 33. Sales of propagative materials to persons who use those items
39 to commercially produce agricultural, horticultural, viticultural or
40 floricultural crops in this state. For the purposes of this paragraph,
41 "propagative materials":

42 (a) Includes seeds, seedlings, roots, bulbs, liners, transplants,
43 cuttings, soil and plant additives, agricultural minerals, auxiliary soil
44 and plant substances, micronutrients, fertilizers, insecticides,
45 herbicides, fungicides, soil fumigants, desiccants, rodenticides,
46 adjuvants, plant nutrients and plant growth regulators.

1 (b) Except for use in commercially producing industrial hemp as
2 defined in section 3-311, does not include any propagative materials used
3 in producing any part, including seeds, of any plant of the genus
4 cannabis.

5 34. Machinery, equipment, technology or related supplies that are
6 only useful to assist a person with a physical disability as defined in
7 section 46-191 or a person who has a developmental disability as defined
8 in section 36-551 or has a head injury as defined in section 41-3201 to be
9 more independent and functional.

10 35. Sales of natural gas or liquefied petroleum gas used to propel
11 a motor vehicle.

12 36. Paper machine clothing, such as forming fabrics and dryer
13 felts, sold to a paper manufacturer and directly used or consumed in paper
14 manufacturing.

15 37. Coal, petroleum, coke, natural gas, virgin fuel oil and
16 electricity sold to a qualified environmental technology manufacturer,
17 producer or processor as defined in section 41-1514.02 and directly used
18 or consumed in generating or providing on-site power or energy solely for
19 environmental technology manufacturing, producing or processing or
20 environmental protection. This paragraph applies for twenty full
21 consecutive calendar or fiscal years from the date the first paper
22 manufacturing machine is placed in service. In the case of an
23 environmental technology manufacturer, producer or processor that does not
24 manufacture paper, the time period begins with the date the first
25 manufacturing, processing or production equipment is placed in service.

26 38. Sales of liquid, solid or gaseous chemicals used in
27 manufacturing, processing, fabricating, mining, refining, metallurgical
28 operations, research and development and, beginning on January 1, 1999,
29 printing, if using or consuming the chemicals, alone or as part of an
30 integrated system of chemicals, involves direct contact with the materials
31 from which the product is produced for the purpose of causing or allowing
32 a chemical or physical change to occur in the materials as part of the
33 production process. This paragraph does not include chemicals that are
34 used or consumed in activities such as packaging, storage or
35 transportation but does not affect any deduction for such chemicals that
36 is otherwise provided by this section. For the purposes of this
37 paragraph, "printing" means a commercial printing operation and includes
38 job printing, engraving, embossing, copying and bookbinding.

39 39. Through December 31, 1994, personal property liquidation
40 transactions, conducted by a personal property liquidator. From and after
41 December 31, 1994, personal property liquidation transactions shall be
42 taxable under this section provided that nothing in this subsection shall
43 be construed to authorize the taxation of casual activities or
44 transactions under this chapter. For the purposes of this paragraph:

45 (a) "Personal property liquidation transaction" means a sale of
46 personal property made by a personal property liquidator acting solely on
47 behalf of the owner of the personal property sold at the dwelling of the

1 owner or on the death of any owner, on behalf of the surviving spouse, if
2 any, any devisee or heir or the personal representative of the estate of
3 the deceased, if one has been appointed.

4 (b) "Personal property liquidator" means a person who is retained
5 to conduct a sale in a personal property liquidation transaction.

6 40. Sales of food, drink and condiment for consumption within the
7 premises of any prison, jail or other institution under the jurisdiction
8 of the state department of corrections, the department of public safety,
9 the department of juvenile corrections or a county sheriff.

10 41. A motor vehicle and any repair and replacement parts and
11 tangible personal property becoming a part of such motor vehicle sold to a
12 motor carrier that is subject to a fee prescribed in title 28, chapter 16,
13 article 4 and that is engaged in the business of leasing or renting such
14 property.

15 42. Sales of:

16 (a) Livestock and poultry to persons engaging in the businesses of
17 farming, ranching or producing livestock or poultry.

18 (b) Livestock and poultry feed, salts, vitamins and other additives
19 for livestock or poultry consumption that are sold to persons for use or
20 consumption by their own livestock or poultry, for use or consumption in
21 the businesses of farming, ranching and producing or feeding livestock,
22 poultry, or livestock or poultry products or for use or consumption in
23 noncommercial boarding of livestock. For the purposes of this paragraph,
24 "poultry" includes ratites.

25 43. Sales of implants used as growth promotants and injectable
26 medicines, not already exempt under paragraph 8 of this subsection, for
27 livestock or poultry owned by or in possession of persons that are engaged
28 in producing livestock, poultry, or livestock or poultry products or that
29 are engaged in feeding livestock or poultry commercially. For the
30 purposes of this paragraph, "poultry" includes ratites.

31 44. Sales of motor vehicles at auction to nonresidents of this
32 state for use outside this state if the vehicles are shipped or delivered
33 out of this state, regardless of where title to the motor vehicles passes
34 or its free on board point.

35 45. Tangible personal property sold to a person engaged in business
36 and subject to tax under the transient lodging classification if the
37 tangible personal property is a personal hygiene item or articles used by
38 human beings for food, drink or condiment, except alcoholic beverages,
39 that are furnished without additional charge to and intended to be
40 consumed by the transient during the transient's occupancy.

41 46. Sales of alternative fuel, as defined in section 1-215, to a
42 used oil fuel burner who has received a permit to burn used oil or used
43 oil fuel under section 49-426 or 49-480.

44 47. Sales of materials that are purchased by or for publicly funded
45 libraries, including school district libraries, charter school libraries,
46 community college libraries, state university libraries or federal, state,
47 county or municipal libraries, for use by the public as follows:

1 (a) Printed or photographic materials, beginning August 7, 1985.

2 (b) Electronic or digital media materials, beginning July 17, 1994.

3 48. Tangible personal property sold to a commercial airline and
4 consisting of food, beverages and condiments and accessories used for
5 serving the food and beverages, if those items are to be provided without
6 additional charge to passengers for consumption in flight. For the
7 purposes of this paragraph, "commercial airline" means a person holding a
8 federal certificate of public convenience and necessity or foreign air
9 carrier permit for air transportation to transport persons, property or
10 United States mail in intrastate, interstate or foreign commerce.

11 49. Sales of alternative fuel vehicles if the vehicle was
12 manufactured as a diesel fuel vehicle and converted to operate on
13 alternative fuel and equipment that is installed in a conventional diesel
14 fuel motor vehicle to convert the vehicle to operate on an alternative
15 fuel, as defined in section 1-215.

16 50. Sales of any spirituous, vinous or malt liquor by a person that
17 is licensed in this state as a wholesaler by the department of liquor
18 licenses and control pursuant to title 4, chapter 2, article 1.

19 51. Sales of tangible personal property to be incorporated or
20 installed as part of environmental response or remediation activities
21 under section 42-5075, subsection B, paragraph 6.

22 52. Sales of tangible personal property by a nonprofit organization
23 that is exempt from taxation under section 501(c)(6) of the internal
24 revenue code if the organization produces, organizes or promotes cultural
25 or civic related festivals or events and no part of the organization's net
26 earnings inures to the benefit of any private shareholder or individual.

27 53. Application services that are designed to assess or test
28 student learning or to promote curriculum design or enhancement purchased
29 by or for any school district, charter school, community college or state
30 university. For the purposes of this paragraph:

31 (a) "Application services" means software applications provided
32 remotely using hypertext transfer protocol or another network protocol.

33 (b) "Curriculum design or enhancement" means planning, implementing
34 or reporting on courses of study, lessons, assignments or other learning
35 activities.

36 54. Sales of motor vehicle fuel and use fuel to a qualified
37 business under section 41-1516 for off-road use in harvesting, processing
38 or transporting qualifying forest products removed from qualifying
39 projects as defined in section 41-1516.

40 55. Sales of repair parts installed in equipment used directly by a
41 qualified business under section 41-1516 in harvesting, processing or
42 transporting qualifying forest products removed from qualifying projects
43 as defined in section 41-1516.

44 56. Sales or other transfers of renewable energy credits or any
45 other unit created to track energy derived from renewable energy
46 resources. For the purposes of this paragraph, "renewable energy credit"
47 means a unit created administratively by the corporation commission or

1 governing body of a public power utility to track kilowatt hours of
2 electricity derived from a renewable energy resource or the kilowatt hour
3 equivalent of conventional energy resources displaced by distributed
4 renewable energy resources.

5 57. Orthodontic devices dispensed by a dental professional who is
6 licensed under title 32, chapter 11 to a patient as part of the practice
7 of dentistry.

8 58. Sales of tangible personal property incorporated or fabricated
9 into a project described in section 42-5075, subsection P, that is located
10 within the exterior boundaries of an Indian reservation for which the
11 owner, as defined in section 42-5075, of the project is an Indian tribe or
12 an affiliated Indian. For the purposes of this paragraph:

13 (a) "Affiliated Indian" means an individual Native American Indian
14 who is duly registered on the tribal rolls of the Indian tribe for whose
15 benefit the Indian reservation was established.

16 (b) "Indian reservation" means all lands that are within the limits
17 of areas set aside by the United States for the exclusive use and
18 occupancy of an Indian tribe by treaty, law or executive order and that
19 are recognized as Indian reservations by the United States department of
20 the interior.

21 (c) "Indian tribe" means any organized nation, tribe, band or
22 community that is recognized as an Indian tribe by the United States
23 department of the interior and includes any entity formed under the laws
24 of the Indian tribe.

25 59. Sales of works of fine art, as defined in section 44-1771, at
26 an art auction or gallery in this state to nonresidents of this state for
27 use outside this state if the vendor ships or delivers the work of fine
28 art to a destination outside this state.

29 60. Sales of tangible personal property by a marketplace seller
30 that are facilitated by a marketplace facilitator in which the marketplace
31 facilitator has remitted or will remit the applicable tax to the
32 department pursuant to section 42-5014.

33 B. In addition to the deductions from the tax base prescribed by
34 subsection A of this section, the gross proceeds of sales or gross income
35 derived from sales of the following categories of tangible personal
36 property shall be deducted from the tax base:

37 1. Machinery, or equipment, used directly in manufacturing,
38 processing, fabricating, job printing, refining or metallurgical
39 operations. The terms "manufacturing", "processing", "fabricating", "job
40 printing", "refining" and "metallurgical" as used in this paragraph refer
41 to and include those operations commonly understood within their ordinary
42 meaning. "Metallurgical operations" includes leaching, milling,
43 precipitating, smelting and refining.

44 2. Mining machinery, or equipment, used directly in the process of
45 extracting ores or minerals from the earth for commercial purposes,
46 including equipment required to prepare the materials for extraction and
47 handling, loading or transporting such extracted material to the surface.

1 "Mining" includes underground, surface and open pit operations for
2 extracting ores and minerals.

3 3. Tangible personal property sold to persons engaged in business
4 classified under the telecommunications classification, including a person
5 representing or working on behalf of such a person in a manner described
6 in section 42-5075, subsection P, and consisting of central office
7 switching equipment, switchboards, private branch exchange equipment,
8 microwave radio equipment and carrier equipment including optical fiber,
9 coaxial cable and other transmission media that are components of carrier
10 systems.

11 4. Machinery, equipment or transmission lines used directly in
12 producing or transmitting electrical power, but not including
13 distribution. Transformers and control equipment used at transmission
14 substation sites constitute equipment used in producing or transmitting
15 electrical power.

16 5. Machinery and equipment used directly for energy storage for
17 later electrical use. For the purposes of this paragraph:

18 (a) "Electric utility scale" means a person that is engaged in a
19 business activity described in section 42-5063, subsection A or such
20 person's equipment or wholesale electricity suppliers.

21 (b) "Energy storage" means commercially available technology for
22 electric utility scale that is capable of absorbing energy, storing energy
23 for a period of time and thereafter dispatching the energy and that uses
24 mechanical, chemical or thermal processes to store energy.

25 (c) "Machinery and equipment used directly" means all machinery and
26 equipment that are used for electric energy storage from the point of
27 receipt of such energy in order to facilitate storage of the electric
28 energy to the point where the electric energy is released.

29 6. Neat animals, horses, asses, sheep, ratites, swine or goats used
30 or to be used as breeding or production stock, including sales of
31 breedings or ownership shares in such animals used for breeding or
32 production.

33 7. Pipes or valves four inches in diameter or larger used to
34 transport oil, natural gas, artificial gas, water, wastewater or coal
35 slurry, including compressor units, regulators, machinery and equipment,
36 fittings, seals and any other part that is used in operating the pipes or
37 valves.

38 8. Aircraft, navigational and communication instruments and other
39 accessories and related equipment sold to:

40 (a) A person:

41 (i) Holding, or exempted by federal law from obtaining, a federal
42 certificate of public convenience and necessity for use as, in conjunction
43 with or becoming part of an aircraft to be used to transport persons for
44 hire in intrastate, interstate or foreign commerce.

45 (ii) That is certificated or licensed under federal aviation
46 administration regulations (14 Code of Federal Regulations part 121 or
47 135) as a scheduled or unscheduled carrier of persons for hire for use as

1 or in conjunction with or becoming part of an aircraft to be used to
2 transport persons for hire in intrastate, interstate or foreign commerce.

3 (iii) Holding a foreign air carrier permit for air transportation
4 for use as or in conjunction with or becoming a part of aircraft to be
5 used to transport persons, property or United States mail in intrastate,
6 interstate or foreign commerce.

7 (iv) Operating an aircraft to transport persons in any manner for
8 compensation or hire, or for use in a fractional ownership program that
9 meets the requirements of federal aviation administration regulations
10 (14 Code of Federal Regulations part 91, subpart K), including as an air
11 carrier, a foreign air carrier or a commercial operator or under a
12 restricted category, within the meaning of 14 Code of Federal Regulations,
13 regardless of whether the operation or aircraft is regulated or certified
14 under part 91, 119, 121, 133, 135, 136 or 137, or another part of 14 Code
15 of Federal Regulations.

16 (v) That will lease or otherwise transfer operational control,
17 within the meaning of federal aviation administration operations
18 specification A008, or its successor, of the aircraft, instruments or
19 accessories to one or more persons described in item (i), (ii), (iii) or
20 (iv) of this subdivision, subject to section 42-5009, subsection Q.

21 (b) Any foreign government.

22 (c) Persons who are not residents of this state and who will not
23 use such property in this state other than in removing such property from
24 this state. This subdivision also applies to corporations that are not
25 incorporated in this state, regardless of maintaining a place of business
26 in this state, if the principal corporate office is located outside this
27 state and the property will not be used in this state other than in
28 removing the property from this state.

29 9. Machinery, tools, equipment and related supplies used or
30 consumed directly in repairing, remodeling or maintaining aircraft,
31 aircraft engines or aircraft component parts by or on behalf of a
32 certificated or licensed carrier of persons or property.

33 10. Railroad rolling stock, rails, ties and signal control
34 equipment used directly to transport persons or property.

35 11. Machinery or equipment used directly to drill for oil or gas or
36 used directly in the process of extracting oil or gas from the earth for
37 commercial purposes.

38 12. Buses or other urban mass transit vehicles that are used
39 directly to transport persons or property for hire or pursuant to a
40 governmentally adopted and controlled urban mass transportation program
41 and that are sold to bus companies holding a federal certificate of
42 convenience and necessity or operated by any city, town or other
43 governmental entity or by any person contracting with such governmental
44 entity as part of a governmentally adopted and controlled program to
45 provide urban mass transportation.

46 13. Groundwater measuring devices required under section 45-604.

1 14. Machinery and equipment consisting of agricultural aircraft,
2 tractors, off-highway vehicles, tractor-drawn implements, self-powered
3 implements, machinery and equipment necessary for extracting milk, and
4 machinery and equipment necessary for cooling milk and livestock, and drip
5 irrigation lines not already exempt under paragraph 7 of this subsection
6 and that are used for commercial production of agricultural,
7 horticultural, viticultural and floricultural crops and products in this
8 state. For the purposes of this paragraph:

9 (a) "Off-highway vehicles" means off-highway vehicles as defined in
10 section 28-1171 that are modified at the time of sale to function as a
11 tractor or to tow tractor-drawn implements and that are not equipped with
12 a modified exhaust system to increase horsepower or speed or an engine
13 that is more than one thousand cubic centimeters or that have a maximum
14 speed of fifty miles per hour or less.

15 (b) "Self-powered implements" includes machinery and equipment that
16 are electric-powered.

17 15. Machinery or equipment used in research and development. For
18 the purposes of this paragraph, "research and development" means basic and
19 applied research in the sciences and engineering, and designing,
20 developing or testing prototypes, processes or new products, including
21 research and development of computer software that is embedded in or an
22 integral part of the prototype or new product or that is required for
23 machinery or equipment otherwise exempt under this section to function
24 effectively. Research and development do not include manufacturing
25 quality control, routine consumer product testing, market research, sales
26 promotion, sales service, research in social sciences or psychology,
27 computer software research that is not included in the definition of
28 research and development, or other nontechnological activities or
29 technical services.

30 16. Tangible personal property that is used by either of the
31 following to receive, store, convert, produce, generate, decode, encode,
32 control or transmit telecommunications information:

33 (a) Any direct broadcast satellite television or data transmission
34 service that operates pursuant to 47 Code of Federal Regulations part 25.

35 (b) Any satellite television or data transmission facility, if both
36 of the following conditions are met:

37 (i) Over two-thirds of the transmissions, measured in megabytes,
38 transmitted by the facility during the test period were transmitted to or
39 on behalf of one or more direct broadcast satellite television or data
40 transmission services that operate pursuant to 47 Code of Federal
41 Regulations part 25.

42 (ii) Over two-thirds of the transmissions, measured in megabytes,
43 transmitted by or on behalf of those direct broadcast television or data
44 transmission services during the test period were transmitted by the
45 facility to or on behalf of those services. For the purposes of
46 subdivision (b) of this paragraph, "test period" means the three hundred
47 sixty-five day period beginning on the later of the date on which the

1 tangible personal property is purchased or the date on which the direct
2 broadcast satellite television or data transmission service first
3 transmits information to its customers.

4 17. Clean rooms that are used for manufacturing, processing,
5 fabrication or research and development, as defined in paragraph 15 of
6 this subsection, of semiconductor products. For the purposes of this
7 paragraph, "clean room" means all property that comprises or creates an
8 environment where humidity, temperature, particulate matter and
9 contamination are precisely controlled within specified parameters,
10 without regard to whether the property is actually contained within that
11 environment or whether any of the property is affixed to or incorporated
12 into real property. Clean room:

13 (a) Includes the integrated systems, fixtures, piping, movable
14 partitions, lighting and all property that is necessary or adapted to
15 reduce contamination or to control airflow, temperature, humidity,
16 chemical purity or other environmental conditions or manufacturing
17 tolerances, as well as the production machinery and equipment operating in
18 conjunction with the clean room environment.

19 (b) Does not include the building or other permanent, nonremovable
20 component of the building that houses the clean room environment.

21 18. Machinery and equipment used directly in feeding poultry,
22 environmentally controlling housing for poultry, moving eggs within a
23 production and packaging facility or sorting or cooling eggs. This
24 exemption does not apply to vehicles used for transporting eggs.

25 19. Machinery or equipment, including related structural components
26 and containment structures, that is employed in connection with
27 manufacturing, processing, fabricating, job printing, refining, mining,
28 natural gas pipelines, metallurgical operations, telecommunications,
29 producing or transmitting electricity or research and development and that
30 is used directly to meet or exceed rules or regulations adopted by the
31 federal energy regulatory commission, the United States environmental
32 protection agency, the United States nuclear regulatory commission, the
33 Arizona department of environmental quality or a political subdivision of
34 this state to prevent, monitor, control or reduce land, water or air
35 pollution. For the purposes of this paragraph, "containment structure"
36 means a structure that prevents, monitors, controls or reduces noxious or
37 harmful discharge into the environment.

38 20. Machinery and equipment that are sold to a person engaged in
39 commercially producing livestock, livestock products or agricultural,
40 horticultural, viticultural or floricultural crops or products in this
41 state, including a person representing or working on behalf of such a
42 person in a manner described in section 42-5075, subsection P, if the
43 machinery and equipment are used directly and primarily to prevent,
44 monitor, control or reduce air, water or land pollution.

45 21. Machinery or equipment that enables a television station to
46 originate and broadcast or to receive and broadcast digital television
47 signals and that was purchased to facilitate compliance with the

1 telecommunications act of 1996 (P.L. 104-104; 110 Stat. 56; 47 United
2 States Code section 336) and the federal communications commission order
3 issued April 21, 1997 (47 Code of Federal Regulations part 73). This
4 paragraph does not exempt any of the following:

5 (a) Repair or replacement parts purchased for the machinery or
6 equipment described in this paragraph.

7 (b) Machinery or equipment purchased to replace machinery or
8 equipment for which an exemption was previously claimed and taken under
9 this paragraph.

10 (c) Any machinery or equipment purchased after the television
11 station has ceased analog broadcasting, or purchased after November 1,
12 2009, whichever occurs first.

13 22. Qualifying equipment that is purchased from and after June 30,
14 2004 through December 31, 2028 by a qualified business under section
15 41-1516 for harvesting or processing qualifying forest products removed
16 from qualifying projects as defined in section 41-1516. To qualify for
17 this deduction, the qualified business at the time of purchase must
18 present its certification approved by the department.

19 23. Computer data center equipment sold to the owner, operator or
20 qualified colocation tenant of a computer data center that is certified by
21 the Arizona commerce authority under section 41-1519 or an authorized
22 agent of the owner, operator or qualified colocation tenant during the
23 qualification period for use in the qualified computer data center. For
24 the purposes of this paragraph, "computer data center", "computer data
25 center equipment", "qualification period" and "qualified colocation
26 tenant" have the same meanings prescribed in section 41-1519.

27 C. The deductions provided by subsection B of this section do not
28 include sales of:

29 1. Expendable materials. For the purposes of this paragraph,
30 expendable materials do not include any of the categories of tangible
31 personal property specified in subsection B of this section regardless of
32 the cost or useful life of that property.

33 2. Janitorial equipment and hand tools.

34 3. Office equipment, furniture and supplies.

35 4. Tangible personal property used in selling or distributing
36 activities, other than the telecommunications transmissions described in
37 subsection B, paragraph 16 of this section.

38 5. Motor vehicles required to be licensed by this state, except
39 buses or other urban mass transit vehicles specifically exempted pursuant
40 to subsection B, paragraph 12 of this section, without regard to the use
41 of such motor vehicles.

42 6. Shops, buildings, docks, depots and all other materials of
43 whatever kind or character not specifically included as exempt.

44 7. Motors and pumps used in drip irrigation systems.

45 8. Machinery and equipment or other tangible personal property used
46 by a contractor in performing a contract.

1 D. In addition to the deductions from the tax base prescribed by
2 subsection A of this section, there shall be deducted from the tax base
3 the gross proceeds of sales or gross income derived from sales of
4 machinery, equipment, materials and other tangible personal property used
5 directly and predominantly to construct a qualified environmental
6 technology manufacturing, producing or processing facility as described in
7 section 41-1514.02. This subsection applies for ten full consecutive
8 calendar or fiscal years after the start of initial construction.

9 E. In computing the tax base, gross proceeds of sales or gross
10 income from retail sales of heavy trucks and trailers does not include any
11 amount attributable to federal excise taxes imposed by 26 United States
12 Code section 4051.

13 F. If a person is engaged in an occupation or business to which
14 subsection A of this section applies, the person's books shall be kept so
15 as to show separately the gross proceeds of sales of tangible personal
16 property and the gross income from sales of services, and if not so kept
17 the tax shall be imposed on the total of the person's gross proceeds of
18 sales of tangible personal property and gross income from services.

19 G. If a person is engaged in the business of selling tangible
20 personal property at both wholesale and retail, the tax under this section
21 applies only to the gross proceeds of the sales made other than at
22 wholesale if the person's books are kept so as to show separately the
23 gross proceeds of sales of each class, and if the books are not so kept,
24 the tax under this section applies to the gross proceeds of every sale so
25 made.

26 H. A person who engages in manufacturing, baling, crating, boxing,
27 barreling, canning, bottling, sacking, preserving, processing or otherwise
28 preparing for sale or commercial use any livestock, agricultural or
29 horticultural product or any other product, article, substance or
30 commodity and who sells the product of such business at retail in this
31 state is deemed, as to such sales, to be engaged in business classified
32 under the retail classification. This subsection does not apply to:

33 1. Agricultural producers who are owners, proprietors or tenants of
34 agricultural lands, orchards, farms or gardens where agricultural products
35 are grown, raised or prepared for market and who are marketing their own
36 agricultural products.

37 2. Businesses classified under the:

- 38 (a) Transporting classification.
- 39 (b) Utilities classification.
- 40 (c) Telecommunications classification.
- 41 (d) Pipeline classification.
- 42 (e) Private car line classification.
- 43 (f) Publication classification.
- 44 (g) Job printing classification.
- 45 (h) Prime contracting classification.
- 46 (i) Restaurant classification.

1 I. The gross proceeds of sales or gross income derived from the
2 following shall be deducted from the tax base for the retail
3 classification:

4 1. Sales made directly to the United States government or its
5 departments or agencies by a manufacturer, modifier, assembler or
6 repairer.

7 2. Sales made directly to a manufacturer, modifier, assembler or
8 repairer if such sales are of any ingredient or component part of products
9 sold directly to the United States government or its departments or
10 agencies by the manufacturer, modifier, assembler or repairer.

11 3. Overhead materials or other tangible personal property that is
12 used in performing a contract between the United States government and a
13 manufacturer, modifier, assembler or repairer, including property used in
14 performing a subcontract with a government contractor who is a
15 manufacturer, modifier, assembler or repairer, to which title passes to
16 the government under the terms of the contract or subcontract.

17 4. Sales of overhead materials or other tangible personal property
18 to a manufacturer, modifier, assembler or repairer if the gross proceeds
19 of sales or gross income derived from the property by the manufacturer,
20 modifier, assembler or repairer will be exempt under paragraph 3 of this
21 subsection.

22 J. There shall be deducted from the tax base fifty percent of the
23 gross proceeds or gross income from any sale of tangible personal property
24 made directly to the United States government or its departments or
25 agencies that is not deducted under subsection I of this section.

26 K. The department shall require every person claiming a deduction
27 provided by subsection I or J of this section to file on forms prescribed
28 by the department at such times as the department directs a sworn
29 statement disclosing the name of the purchaser and the exact amount of
30 sales on which the exclusion or deduction is claimed.

31 L. In computing the tax base, gross proceeds of sales or gross
32 income does not include:

33 1. A manufacturer's cash rebate on the sales price of a motor
34 vehicle if the buyer assigns the buyer's right in the rebate to the
35 retailer.

36 2. The waste tire disposal fee imposed pursuant to section 44-1302.

37 M. There shall be deducted from the tax base the amount received
38 from sales of solar energy devices. The retailer shall register with the
39 department as a solar energy retailer. By registering, the retailer
40 acknowledges that it will make its books and records relating to sales of
41 solar energy devices available to the department for examination.

42 N. In computing the tax base in the case of the sale or transfer of
43 wireless telecommunications equipment as an inducement to a customer to
44 enter into or continue a contract for telecommunications services that are
45 taxable under section 42-5064, gross proceeds of sales or gross income
46 does not include any sales commissions or other compensation received by

1 the retailer as a result of the customer entering into or continuing a
2 contract for the telecommunications services.

3 O. For the purposes of this section, a sale of wireless
4 telecommunications equipment to a person who holds the equipment for sale
5 or transfer to a customer as an inducement to enter into or continue a
6 contract for telecommunications services that are taxable under section
7 42-5064 is considered to be a sale for resale in the regular course of
8 business.

9 P. Retail sales of prepaid calling cards or prepaid authorization
10 numbers for telecommunications services, including sales of
11 reauthorization of a prepaid card or authorization number, are subject to
12 tax under this section.

13 Q. For the purposes of this section, the diversion of gas from a
14 pipeline by a person engaged in the business of:

15 1. Operating a natural or artificial gas pipeline, for the sole
16 purpose of fueling compressor equipment to pressurize the pipeline, is not
17 a sale of the gas to the operator of the pipeline.

18 2. Converting natural gas into liquefied natural gas, for the sole
19 purpose of fueling compressor equipment used in the conversion process, is
20 not a sale of gas to the operator of the compressor equipment.

21 R. For the purposes of this section, the transfer of title or
22 possession of coal from an owner or operator of a power plant to a person
23 in the business of refining coal is not a sale of coal if both of the
24 following apply:

25 1. The transfer of title or possession of the coal is for the
26 purpose of refining the coal.

27 2. The title or possession of the coal is transferred back to the
28 owner or operator of the power plant after completion of the coal refining
29 process. For the purposes of this paragraph, "coal refining process"
30 means the application of a coal additive system that aids in the reduction
31 of power plant emissions during the combustion of coal and the treatment
32 of flue gas.

33 S. If a seller is entitled to a deduction pursuant to subsection B,
34 paragraph 16, subdivision (b) of this section, the department may require
35 the purchaser to establish that the requirements of subsection B,
36 paragraph 16, subdivision (b) of this section have been satisfied. If the
37 purchaser cannot establish that the requirements of subsection B,
38 paragraph 16, subdivision (b) of this section have been satisfied, the
39 purchaser is liable in an amount equal to any tax, penalty and interest
40 that the seller would have been required to pay under article 1 of this
41 chapter if the seller had not made a deduction pursuant to subsection B,
42 paragraph 16, subdivision (b) of this section. Payment of the amount
43 under this subsection exempts the purchaser from liability for any tax
44 imposed under article 4 of this chapter and related to the tangible
45 personal property purchased. The amount shall be treated as transaction
46 privilege tax to the purchaser and as tax revenues collected from the
47 seller to designate the distribution base pursuant to section 42-5029.

1 T. For the purposes of section 42-5032.01, the department shall
2 separately account for revenues collected under the retail classification
3 from businesses selling tangible personal property at retail:

4 1. On the premises of a multipurpose facility that is owned, leased
5 or operated by the tourism and sports authority pursuant to title 5,
6 chapter 8.

7 2. At professional football contests that are held in a stadium
8 located on the campus of an institution under the jurisdiction of the
9 Arizona board of regents.

10 U. For the purposes of section 42-5032.03 and subject to section
11 48-4238, beginning October 1, 2025 and each month thereafter through
12 December 31, 2055, the department shall separately account for revenues
13 collected under the retail classification from each business selling
14 tangible personal property at retail on the premises of a major league
15 baseball facility or an adjacent building that is owned by a county
16 stadium district pursuant to title 48, chapter 26 and operated by the
17 county stadium district or the professional baseball franchise
18 organization that occupies the major league baseball facility or adjacent
19 building. For the purposes of this subsection, "adjacent building" and
20 "major league baseball facility" have the same meanings prescribed in
21 section 48-4201.

22 V. In computing the tax base for the sale of a motor vehicle to a
23 nonresident of this state, if the purchaser's state of residence allows a
24 corresponding use tax exemption to the tax imposed by article 1 of this
25 chapter and the rate of the tax in the purchaser's state of residence is
26 lower than the rate prescribed in article 1 of this chapter or if the
27 purchaser's state of residence does not impose an excise tax, and the
28 nonresident has secured a special ninety day nonresident registration
29 permit for the vehicle as prescribed by sections 28-2154 and 28-2154.01,
30 there shall be deducted from the tax base a portion of the gross proceeds
31 or gross income from the sale so that the amount of transaction privilege
32 tax that is paid in this state is equal to the excise tax that is imposed
33 by the purchaser's state of residence on the nonexempt sale or use of the
34 motor vehicle.

35 W. For the purposes of this section:

36 1. "Agricultural aircraft" means an aircraft that is built for
37 agricultural use for the aerial application of pesticides or fertilizer or
38 for aerial seeding.

39 2. "Aircraft" includes:

40 (a) An airplane flight simulator that is approved by the federal
41 aviation administration for use as a phase II or higher flight simulator
42 under appendix H, 14 Code of Federal Regulations part 121.

43 (b) Tangible personal property that is permanently affixed or
44 attached as a component part of an aircraft that is owned or operated by a
45 certificated or licensed carrier of persons or property.

1 3. "Other accessories and related equipment" includes aircraft
2 accessories and equipment such as ground service equipment that physically
3 contact aircraft at some point during the overall carrier operation.

4 4. "Selling at retail" means a sale for any purpose other than for
5 resale in the regular course of business in the form of tangible personal
6 property, but transfer of possession, lease and rental as used in the
7 definition of sale mean only such transactions as are found on
8 investigation to be in lieu of sales as defined without the words lease or
9 rental.

10 X. For the purposes of subsection I of this section:

11 1. "Assembler" means a person who unites or combines products,
12 wares or articles of manufacture so as to produce a change in form or
13 substance without changing or altering the component parts.

14 2. "Manufacturer" means a person who is principally engaged in
15 fabricating, producing or manufacturing products, wares or articles for
16 use from raw or prepared materials, imparting to those materials new
17 forms, qualities, properties and combinations.

18 3. "Modifier" means a person who reworks, changes or adds to
19 products, wares or articles of manufacture.

20 4. "Overhead materials" means tangible personal property, the gross
21 proceeds of sales or gross income derived from that would otherwise be
22 included in the retail classification, and that are used or consumed in
23 performing a contract, the cost of which is charged to an overhead expense
24 account and allocated to various contracts based on generally accepted
25 accounting principles and consistent with government contract accounting
26 standards.

27 5. "Repairer" means a person who restores or renews products, wares
28 or articles of manufacture.

29 6. "Subcontract" means an agreement between a contractor and any
30 person who is not an employee of the contractor for furnishing supplies or
31 services that, in whole or in part, are necessary to perform one or more
32 government contracts, or under which any portion of the contractor's
33 obligation under one or more government contracts is performed, undertaken
34 or assumed and that includes provisions causing title to overhead
35 materials or other tangible personal property used in performing the
36 subcontract to pass to the government or that includes provisions
37 incorporating such title passing clauses in a government contract into the
38 subcontract.

39 Sec. 2. Section 42-5159, Arizona Revised Statutes, as amended by
40 Laws 2025, chapter 135, section 2 and chapter 247, section 2, is amended
41 to read:

42 42-5159. Exemptions

43 A. The tax levied by this article does not apply to the storage,
44 use or consumption in this state of the following described tangible
45 personal property:

1 1. Tangible personal property, sold in this state, the gross
2 receipts from the sale of which are included in the measure of the tax
3 imposed by articles 1 and 2 of this chapter.

4 2. Tangible personal property, the sale or use of which has already
5 been subjected to an excise tax at a rate equal to or exceeding the tax
6 imposed by this article under the laws of another state of the United
7 States. If the excise tax imposed by the other state is at a rate less
8 than the tax imposed by this article, the tax imposed by this article is
9 reduced by the amount of the tax already imposed by the other state.

10 3. Tangible personal property, the storage, use or consumption of
11 which the constitution or laws of the United States prohibit this state
12 from taxing or to the extent that the rate or imposition of tax is
13 unconstitutional under the laws of the United States.

14 4. Tangible personal property that directly enters into and becomes
15 an ingredient or component part of any manufactured, fabricated or
16 processed article, substance or commodity for sale in the regular course
17 of business.

18 5. Motor vehicle fuel and use fuel, the sales, distribution or use
19 of which in this state is subject to the tax imposed under title 28,
20 chapter 16, article 1, use fuel that is sold to or used by a person
21 holding a valid single trip use fuel tax permit issued under
22 section 28-5739, aviation fuel, the sales, distribution or use of which in
23 this state is subject to the tax imposed under section 28-8344, and jet
24 fuel, the sales, distribution or use of which in this state is subject to
25 the tax imposed under article 8 of this chapter.

26 6. Tangible personal property brought into this state by an
27 individual who was a nonresident at the time the property was purchased
28 for storage, use or consumption by the individual if the first actual use
29 or consumption of the property was outside this state, unless the property
30 is used in conducting a business in this state.

31 7. Purchases of implants used as growth promotants and injectable
32 medicines, not already exempt under paragraph 16 of this subsection, for
33 livestock and poultry owned by, or in possession of, persons who are
34 engaged in producing livestock, poultry, or livestock or poultry products,
35 or who are engaged in feeding livestock or poultry commercially. For the
36 purposes of this paragraph, "poultry" includes ratites.

37 8. Purchases of:

38 (a) Livestock and poultry to persons engaging in the businesses of
39 farming, ranching or producing livestock or poultry.

40 (b) Livestock and poultry feed, salts, vitamins and other additives
41 sold to persons for use or consumption in the businesses of farming,
42 ranching and producing or feeding livestock or poultry or for use or
43 consumption in noncommercial boarding of livestock. For the purposes of
44 this paragraph, "poultry" includes ratites.

45 9. Propagative materials for use in commercially producing
46 agricultural, horticultural, viticultural or floricultural crops in this
47 state. For the purposes of this paragraph, "propagative materials":

1 (a) Includes seeds, seedlings, roots, bulbs, liners, transplants,
2 cuttings, soil and plant additives, agricultural minerals, auxiliary soil
3 and plant substances, micronutrients, fertilizers, insecticides,
4 herbicides, fungicides, soil fumigants, desiccants, rodenticides,
5 adjuvants, plant nutrients and plant growth regulators.

6 (b) Except for use in commercially producing industrial hemp as
7 defined in section 3-311, does not include any propagative materials used
8 in producing any part, including seeds, of any plant of the genus
9 cannabis.

10 10. Tangible personal property not exceeding \$200 in any one month
11 purchased by an individual at retail outside the continental limits of the
12 United States for the individual's own personal use and enjoyment.

13 11. Advertising supplements that are intended for sale with
14 newspapers published in this state and that have already been subjected to
15 an excise tax under the laws of another state in the United States that
16 equals or exceeds the tax imposed by this article.

17 12. Materials that are purchased by or for publicly funded
18 libraries, including school district libraries, charter school libraries,
19 community college libraries, state university libraries or federal, state,
20 county or municipal libraries, for use by the public as follows:

21 (a) Printed or photographic materials, beginning August 7, 1985.

22 (b) Electronic or digital media materials, beginning July 17, 1994.

23 13. Tangible personal property purchased by:

24 (a) A hospital organized and operated exclusively for charitable
25 purposes, no part of the net earnings of which inures to the benefit of
26 any private shareholder or individual.

27 (b) A hospital operated by this state or a political subdivision of
28 this state.

29 (c) A licensed nursing care institution or a licensed residential
30 care institution or a residential care facility operated in conjunction
31 with a licensed nursing care institution or a licensed kidney dialysis
32 center, which provides medical services, nursing services or health
33 related services and is not used or held for profit.

34 (d) A qualifying health care organization, as defined in section
35 42-5001, if the tangible personal property is used by the organization
36 solely to provide health and medical related educational and charitable
37 services.

38 (e) A qualifying health care organization as defined in section
39 42-5001 if the organization is dedicated to providing educational,
40 therapeutic, rehabilitative and family medical education training for
41 blind and visually impaired children and children with multiple
42 disabilities from the time of birth to age twenty-one.

43 (f) A nonprofit charitable organization that has qualified under
44 section 501(c)(3) of the United States internal revenue code and that
45 engages in and uses such property exclusively in programs for persons with
46 mental or physical disabilities if the programs are exclusively for
47 training, job placement, rehabilitation, or testing.

1 (g) A person that is subject to tax under this chapter by reason of
2 being engaged in business classified under section 42-5075, or a
3 subcontractor working under the control of a person that is engaged in
4 business classified under section 42-5075, if the tangible personal
5 property is any of the following:

6 (i) Incorporated or fabricated by the person into a structure,
7 project, development or improvement in fulfillment of a contract.

8 (ii) Incorporated or fabricated by the person into any project
9 described in section 42-5075, subsection ~~P~~ P.

10 (iii) Used in environmental response or remediation activities
11 under section 42-5075, subsection B, paragraph 6.

12 (h) A person that is not subject to tax under section 42-5075 and
13 that has been provided a copy of a certificate described in section
14 42-5009, subsection L, if the property purchased is incorporated or
15 fabricated by the person into the real property, structure, project,
16 development or improvement described in the certificate.

17 (i) A nonprofit charitable organization that has qualified under
18 section 501(c)(3) of the internal revenue code if the property is
19 purchased from the parent or an affiliate organization that is located
20 outside this state.

21 (j) A qualifying community health center as defined in section
22 42-5001.

23 (k) A nonprofit charitable organization that has qualified under
24 section 501(c)(3) of the internal revenue code and that regularly serves
25 meals to the needy and indigent on a continuing basis at no cost.

26 (l) A person engaged in business under the transient lodging
27 classification if the property is a personal hygiene item or articles used
28 by human beings for food, drink or condiment, except alcoholic beverages,
29 which are furnished without additional charge to and intended to be
30 consumed by the transient during the transient's occupancy.

31 (m) For taxable periods beginning from and after June 30, 2001, a
32 nonprofit charitable organization that has qualified under section
33 501(c)(3) of the internal revenue code and that provides residential
34 apartment housing for low-income persons over sixty-two years of age in a
35 facility that qualifies for a federal housing subsidy, if the tangible
36 personal property is used by the organization solely to provide
37 residential apartment housing for low-income persons over sixty-two years
38 of age in a facility that qualifies for a federal housing subsidy.

39 (n) A qualifying health sciences educational institution as defined
40 in section 42-5001.

41 (o) A person representing or working on behalf of any person
42 described in subdivision (a), (b), (c), (d), (e), (f), (i), (j), (k), (m)
43 or (n) of this paragraph, if the tangible personal property is
44 incorporated or fabricated into a project described in section 42-5075,
45 subsection ~~P~~ P.

46 14. Commodities, as defined by title 7 United States Code
47 section 2, that are consigned for resale in a warehouse in this state in

1 or from which the commodity is deliverable on a contract for future
2 delivery subject to the rules of a commodity market regulated by the
3 United States commodity futures trading commission.

4 15. Tangible personal property sold by:

5 (a) Any nonprofit organization organized and operated exclusively
6 for charitable purposes and recognized by the United States internal
7 revenue service under section 501(c)(3) of the internal revenue code.

8 (b) A nonprofit organization that is exempt from taxation under
9 section 501(c)(3), 501(c)(4) or 501(c)(6) of the internal revenue code if
10 the organization is associated with a major league baseball team or a
11 national touring professional golfing association and no part of the
12 organization's net earnings inures to the benefit of any private
13 shareholder or individual. This subdivision does not apply to an
14 organization that is owned, managed or controlled, in whole or in part, by
15 a major league baseball team, or its owners, officers, employees or
16 agents, or by a major league baseball association or professional golfing
17 association, or its owners, officers, employees or agents, unless the
18 organization conducted or operated exhibition events in this state before
19 January 1, 2018 that were exempt from transaction privilege tax under
20 section 42-5073.

21 (c) A nonprofit organization that is exempt from taxation under
22 section 501(c)(3), 501(c)(4), 501(c)(6), 501(c)(7) or 501(c)(8) of the
23 internal revenue code if the organization sponsors or operates a rodeo
24 featuring primarily farm and ranch animals and no part of the
25 organization's net earnings inures to the benefit of any private
26 shareholder or individual.

27 16. Drugs and medical oxygen, including delivery hose, mask or
28 tent, regulator and tank, if prescribed by a member of the medical, dental
29 or veterinarian profession who is licensed by law to administer such
30 substances.

31 17. Prosthetic appliances, as defined in section 23-501, prescribed
32 or recommended by a person who is licensed, registered or otherwise
33 professionally credentialed as a physician, dentist, podiatrist,
34 chiropractor, naturopath, homeopath, nurse or optometrist.

35 18. Prescription eyeglasses and contact lenses.

36 19. Insulin, insulin syringes and glucose test strips.

37 20. Hearing aids as defined in section 36-1901.

38 21. Durable medical equipment that has a centers for medicare and
39 medicaid services common procedure code, is designated reimbursable by
40 medicare, is prescribed by a person who is licensed under title 32,
41 chapter 7, 13, 17 or 29, can withstand repeated use, is primarily and
42 customarily used to serve a medical purpose, is generally not useful to a
43 person in the absence of illness or injury and is appropriate for use in
44 the home.

45 22. Food, as provided in and subject to the conditions of article 3
46 of this chapter and sections 42-5074 and 42-6017.

1 23. Items purchased with United States department of agriculture
2 coupons issued under the supplemental nutrition assistance program
3 pursuant to the food and nutrition act of 2008 (P.L. 88-525; 78 Stat. 703;
4 7 United States Code sections 2011 through 2036b) by the United States
5 department of agriculture food and nutrition service or food instruments
6 issued under section 17 of the child nutrition act (P.L. 95-627; 92 Stat.
7 3603; P.L. 99-661, section 4302; P.L. 111-296; 42 United States Code
8 section 1786).

9 24. Food and drink provided without monetary charge by a taxpayer
10 that is subject to section 42-5074 to its employees for their own
11 consumption on the premises during the employees' hours of employment.

12 25. Tangible personal property that is used or consumed in a
13 business subject to section 42-5074 for human food, drink or condiment,
14 whether simple, mixed or compounded.

15 26. Food, drink or condiment and accessory tangible personal
16 property that are acquired for use by or provided to a school district or
17 charter school if they are to be either served or prepared and served to
18 persons for consumption on the premises of a public school in the school
19 district or on the premises of the charter school during school hours.

20 27. Lottery tickets or shares purchased pursuant to title 5,
21 chapter 5.1, article 1.

22 28. Textbooks, sold by a bookstore, that are required by any state
23 university or community college.

24 29. Magazines, other periodicals or other publications produced by
25 this state to encourage tourist travel.

26 30. Paper machine clothing, such as forming fabrics and dryer
27 felts, purchased by a paper manufacturer and directly used or consumed in
28 paper manufacturing.

29 31. Coal, petroleum, coke, natural gas, virgin fuel oil and
30 electricity purchased by a qualified environmental technology
31 manufacturer, producer or processor as defined in section 41-1514.02 and
32 directly used or consumed in generating or providing on-site power or
33 energy solely for environmental technology manufacturing, producing or
34 processing or environmental protection. This paragraph applies for twenty
35 full consecutive calendar or fiscal years from the date the first paper
36 manufacturing machine is placed in service. In the case of an
37 environmental technology manufacturer, producer or processor that does not
38 manufacture paper, the time period begins with the date the first
39 manufacturing, processing or production equipment is placed in service.

40 32. Motor vehicles that are removed from inventory by a motor
41 vehicle dealer as defined in section 28-4301 and that are provided to:

42 (a) Charitable or educational institutions that are exempt from
43 taxation under section 501(c)(3) of the internal revenue code.

44 (b) Public educational institutions.

45 (c) State universities or affiliated organizations of a state
46 university if no part of the organization's net earnings inures to the
47 benefit of any private shareholder or individual.

1 33. Natural gas or liquefied petroleum gas used to propel a motor
2 vehicle.

3 34. Machinery, equipment, technology or related supplies that are
4 only useful to assist a person with a physical disability as defined in
5 section 46-191 or a person who has a developmental disability as defined
6 in section 36-551 or has a head injury as defined in section 41-3201 to be
7 more independent and functional.

8 35. Liquid, solid or gaseous chemicals used in manufacturing,
9 processing, fabricating, mining, refining, metallurgical operations,
10 research and development and, beginning on January 1, 1999, printing, if
11 using or consuming the chemicals, alone or as part of an integrated system
12 of chemicals, involves direct contact with the materials from which the
13 product is produced for the purpose of causing or allowing a chemical or
14 physical change to occur in the materials as part of the production
15 process. This paragraph does not include chemicals that are used or
16 consumed in activities such as packaging, storage or transportation but
17 does not affect any exemption for such chemicals that is otherwise
18 provided by this section. For the purposes of this paragraph, "printing"
19 means a commercial printing operation and includes job printing,
20 engraving, embossing, copying and bookbinding.

21 36. Food, drink and condiment purchased for consumption within the
22 premises of any prison, jail or other institution under the jurisdiction
23 of the state department of corrections, the department of public safety,
24 the department of juvenile corrections or a county sheriff.

25 37. A motor vehicle and any repair and replacement parts and
26 tangible personal property becoming a part of such motor vehicle sold to a
27 motor carrier that is subject to a fee prescribed in title 28, chapter 16,
28 article 4 and that is engaged in the business of leasing or renting such a
29 property.

30 38. Tangible personal property that is or directly enters into and
31 becomes an ingredient or component part of cards used as prescription plan
32 identification cards.

33 39. Overhead materials or other tangible personal property that is
34 used in performing a contract between the United States government and a
35 manufacturer, modifier, assembler or repairer, including property used in
36 performing a subcontract with a government contractor who is a
37 manufacturer, modifier, assembler or repairer, to which title passes to
38 the government under the terms of the contract or subcontract. For the
39 purposes of this paragraph:

40 (a) "Overhead materials" means tangible personal property, the
41 gross proceeds of sales or gross income derived from which would otherwise
42 be included in the retail classification, that is used or consumed in
43 performing a contract, the cost of which is charged to an overhead expense
44 account and allocated to various contracts based on generally accepted
45 accounting principles and consistent with government contract accounting
46 standards.

1 (b) "Subcontract" means an agreement between a contractor and any
2 person who is not an employee of the contractor for furnishing of supplies
3 or services that, in whole or in part, are necessary to perform one or
4 more government contracts, or under which any portion of the contractor's
5 obligation under one or more government contracts is performed, undertaken
6 or assumed, and that includes provisions causing title to overhead
7 materials or other tangible personal property used in performing the
8 subcontract to pass to the government or that includes provisions
9 incorporating such title passing clauses in a government contract into the
10 subcontract.

11 40. Through December 31, 1994, tangible personal property sold
12 pursuant to a personal property liquidation transaction, as defined in
13 section 42-5061. From and after December 31, 1994, tangible personal
14 property sold pursuant to a personal property liquidation transaction, as
15 defined in section 42-5061, if the gross proceeds of the sales were
16 included in the measure of the tax imposed by article 1 of this chapter or
17 if the personal property liquidation was a casual activity or transaction.

18 41. Wireless telecommunications equipment that is held for sale or
19 transfer to a customer as an inducement to enter into or continue a
20 contract for telecommunications services that are taxable under section
21 42-5064.

22 42. Alternative fuel, as defined in section 1-215, purchased by a
23 used oil fuel burner who has received a permit to burn used oil or used
24 oil fuel under section 49-426 or 49-480.

25 43. Tangible personal property purchased by a commercial airline
26 and consisting of food, beverages and condiments and accessories used for
27 serving the food and beverages, if those items are to be provided without
28 additional charge to passengers for consumption in flight. For the
29 purposes of this paragraph, "commercial airline" means a person holding a
30 federal certificate of public convenience and necessity or foreign air
31 carrier permit for air transportation to transport persons, property or
32 United States mail in intrastate, interstate or foreign commerce.

33 44. Alternative fuel vehicles if the vehicle was manufactured as a
34 diesel fuel vehicle and converted to operate on alternative fuel and
35 equipment that is installed in a conventional diesel fuel motor vehicle to
36 convert the vehicle to operate on an alternative fuel, as defined in
37 section 1-215.

38 45. Gas diverted from a pipeline, by a person engaged in the
39 business of:

40 (a) Operating a natural or artificial gas pipeline, and used or
41 consumed for the sole purpose of fueling compressor equipment that
42 pressurizes the pipeline.

43 (b) Converting natural gas into liquefied natural gas, and used or
44 consumed for the sole purpose of fueling compressor equipment used in the
45 conversion process.

46 46. Tangible personal property that is excluded, exempt or
47 deductible from transaction privilege tax pursuant to section 42-5063.

1 47. Tangible personal property purchased to be incorporated or
2 installed as part of environmental response or remediation activities
3 under section 42-5075, subsection B, paragraph 6.

4 48. Tangible personal property sold by a nonprofit organization
5 that is exempt from taxation under section 501(c)(6) of the internal
6 revenue code if the organization produces, organizes or promotes cultural
7 or civic related festivals or events and no part of the organization's net
8 earnings inures to the benefit of any private shareholder or individual.

9 49. Prepared food, drink or condiment donated by a restaurant as
10 classified in section 42-5074, subsection A to a nonprofit charitable
11 organization that has qualified under section 501(c)(3) of the internal
12 revenue code and that regularly serves meals to the needy and indigent on
13 a continuing basis at no cost.

14 50. Application services that are designed to assess or test
15 student learning or to promote curriculum design or enhancement purchased
16 by or for any school district, charter school, community college or state
17 university. For the purposes of this paragraph:

18 (a) "Application services" means software applications provided
19 remotely using hypertext transfer protocol or another network protocol.

20 (b) "Curriculum design or enhancement" means planning, implementing
21 or reporting on courses of study, lessons, assignments or other learning
22 activities.

23 51. Motor vehicle fuel and use fuel to a qualified business under
24 section 41-1516 for off-road use in harvesting, processing or transporting
25 qualifying forest products removed from qualifying projects as defined in
26 section 41-1516.

27 52. Repair parts installed in equipment used directly by a
28 qualified business under section 41-1516 in harvesting, processing or
29 transporting qualifying forest products removed from qualifying projects
30 as defined in section 41-1516.

31 53. Renewable energy credits or any other unit created to track
32 energy derived from renewable energy resources. For the purposes of this
33 paragraph, "renewable energy credit" means a unit created administratively
34 by the corporation commission or governing body of a public power entity
35 to track kilowatt hours of electricity derived from a renewable energy
36 resource or the kilowatt hour equivalent of conventional energy resources
37 displaced by distributed renewable energy resources.

38 54. Coal acquired from an owner or operator of a power plant by a
39 person that is responsible for refining coal if both of the following
40 apply:

41 (a) The transfer of title or possession of the coal is for the
42 purpose of refining the coal.

43 (b) The title or possession of the coal is transferred back to the
44 owner or operator of the power plant after completion of the coal refining
45 process. For the purposes of this subdivision, "coal refining process"
46 means the application of a coal additive system that aids the reduction of

1 power plant emissions during the combustion of coal and the treatment of
2 flue gas.

3 55. Tangible personal property incorporated or fabricated into a
4 project described in section 42-5075, subsection ~~6~~ P, that is located
5 within the exterior boundaries of an Indian reservation for which the
6 owner, as defined in section 42-5075, of the project is an Indian tribe or
7 an affiliated Indian. For the purposes of this paragraph:

8 (a) "Affiliated Indian" means an individual Native American Indian
9 who is duly registered on the tribal rolls of the Indian tribe for whose
10 benefit the Indian reservation was established.

11 (b) "Indian reservation" means all lands that are within the limits
12 of areas set aside by the United States for the exclusive use and
13 occupancy of an Indian tribe by treaty, law or executive order and that
14 are recognized as Indian reservations by the United States department of
15 the interior.

16 (c) "Indian tribe" means any organized nation, tribe, band or
17 community that is recognized as an Indian tribe by the United States
18 department of the interior and includes any entity formed under the laws
19 of the Indian tribe.

20 56. Cash equivalents, precious metal bullion and monetized bullion
21 ~~purchased by the ultimate consumer~~, but coins or other forms of money for
22 manufacture into jewelry or works of art are subject to tax, and tangible
23 personal property that is purchased through the redemption of any cash
24 equivalent by the holder as a means of payment for goods that are subject
25 to tax under this article is subject to tax. For the purposes of this
26 paragraph:

27 (a) "Cash equivalents" means items, whether or not negotiable, that
28 are sold to one or more persons, through which a value denominated in
29 money is purchased in advance and that may be redeemed in full or in part
30 for tangible personal property, intangibles or services. Cash equivalents
31 include gift cards, stored value cards, gift certificates, vouchers,
32 traveler's checks, money orders or other tangible instruments or orders.
33 Cash equivalents do not include either of the following:

34 (i) Items that are sold to one or more persons and through which a
35 value is not denominated in money.

36 (ii) Prepaid calling cards for telecommunications services.

37 (b) "Monetized bullion" means coins and other forms of money that
38 are manufactured from gold, silver or other metals and that have been or
39 are used as a medium of exchange in this or another state, the United
40 States or a foreign nation.

41 (c) "Precious metal bullion" means precious metal, including gold,
42 silver, platinum, rhodium and palladium, that has been smelted or refined
43 so that its value depends on its contents and not on its form.

44 B. In addition to the exemptions allowed by subsection A of this
45 section, the following categories of tangible personal property are also
46 exempt:

1 1. Machinery, or equipment, used directly in manufacturing,
2 processing, fabricating, job printing, refining or metallurgical
3 operations. The terms "manufacturing", "processing", "fabricating", "job
4 printing", "refining" and "metallurgical" as used in this paragraph refer
5 to and include those operations commonly understood within their ordinary
6 meaning. "Metallurgical operations" includes leaching, milling,
7 precipitating, smelting and refining.

8 2. Machinery, or equipment, used directly in the process of
9 extracting ores or minerals from the earth for commercial purposes,
10 including equipment required to prepare the materials for extraction and
11 handling, loading or transporting such extracted material to the surface.
12 "Mining" includes underground, surface and open pit operations for
13 extracting ores and minerals.

14 3. Tangible personal property sold to persons engaged in business
15 classified under the telecommunications classification under section
16 42-5064, including a person representing or working on behalf of such a
17 person in a manner described in section 42-5075, subsection ~~P~~ P, and
18 consisting of central office switching equipment, switchboards, private
19 branch exchange equipment, microwave radio equipment and carrier equipment
20 including optical fiber, coaxial cable and other transmission media that
21 are components of carrier systems.

22 4. Machinery, equipment or transmission lines used directly in
23 producing or transmitting electrical power, but not including
24 distribution. Transformers and control equipment used at transmission
25 substation sites constitute equipment used in producing or transmitting
26 electrical power.

27 5. Machinery and equipment used directly for energy storage for
28 later electrical use. For the purposes of this paragraph:

29 (a) "Electric utility scale" means a person that is engaged in a
30 business activity described in section 42-5063, subsection A or such
31 person's equipment or wholesale electricity suppliers.

32 (b) "Energy storage" means commercially available technology for
33 electric utility scale that is capable of absorbing energy, storing energy
34 for a period of time and thereafter dispatching the energy and that uses
35 mechanical, chemical or thermal processes to store energy.

36 (c) "Machinery and equipment used directly" means all machinery and
37 equipment that are used for electric energy storage from the point of
38 receipt of such energy in order to facilitate storage of the electric
39 energy to the point where the electric energy is released.

40 6. Neat animals, horses, asses, sheep, ratites, swine or goats used
41 or to be used as breeding or production stock, including sales of
42 breedings or ownership shares in such animals used for breeding or
43 production.

44 7. Pipes or valves four inches in diameter or larger used to
45 transport oil, natural gas, artificial gas, water, wastewater or coal
46 slurry, including compressor units, regulators, machinery and equipment,

1 fittings, seals and any other part that is used in operating the pipes or
2 valves.

3 8. Aircraft, navigational and communication instruments and other
4 accessories and related equipment sold to:

5 (a) A person:

6 (i) Holding, or exempted by federal law from obtaining, a federal
7 certificate of public convenience and necessity for use as, in conjunction
8 with or becoming part of an aircraft to be used to transport persons for
9 hire in intrastate, interstate or foreign commerce.

10 (ii) That is certificated or licensed under federal aviation
11 administration regulations (14 Code of Federal Regulations part 121 or
12 135) as a scheduled or unscheduled carrier of persons for hire for use as
13 or in conjunction with or becoming part of an aircraft to be used to
14 transport persons for hire in intrastate, interstate or foreign commerce.

15 (iii) Holding a foreign air carrier permit for air transportation
16 for use as or in conjunction with or becoming a part of aircraft to be
17 used to transport persons, property or United States mail in intrastate,
18 interstate or foreign commerce.

19 (iv) Operating an aircraft to transport persons in any manner for
20 compensation or hire, or for use in a fractional ownership program that
21 meets the requirements of federal aviation administration regulations (14
22 Code of Federal Regulations part 91, subpart K), including as an air
23 carrier, a foreign air carrier or a commercial operator or under a
24 restricted category, within the meaning of 14 Code of Federal Regulations,
25 regardless of whether the operation or aircraft is regulated or certified
26 under part 91, 119, 121, 133, 135, 136 or 137, or another part of 14 Code
27 of Federal Regulations.

28 (v) That will lease or otherwise transfer operational control,
29 within the meaning of federal aviation administration operations
30 specification A008, or its successor, of the aircraft, instruments or
31 accessories to one or more persons described in item (i), (ii), (iii) or
32 (iv) of this subdivision, subject to section 42-5009, subsection Q.

33 (b) Any foreign government.

34 (c) Persons who are not residents of this state and who will not
35 use such property in this state other than in removing such property from
36 this state. This subdivision also applies to corporations that are not
37 incorporated in this state, regardless of maintaining a place of business
38 in this state, if the principal corporate office is located outside this
39 state and the property will not be used in this state other than in
40 removing the property from this state.

41 9. Machinery, tools, equipment and related supplies used or
42 consumed directly in repairing, remodeling or maintaining aircraft,
43 aircraft engines or aircraft component parts by or on behalf of a
44 certificated or licensed carrier of persons or property.

45 10. Rolling stock, rails, ties and signal control equipment used
46 directly to transport persons or property.

1 11. Machinery or equipment used directly to drill for oil or gas or
2 used directly in the process of extracting oil or gas from the earth for
3 commercial purposes.

4 12. Buses or other urban mass transit vehicles that are used
5 directly to transport persons or property for hire or pursuant to a
6 governmentally adopted and controlled urban mass transportation program
7 and that are sold to bus companies holding a federal certificate of
8 convenience and necessity or operated by any city, town or other
9 governmental entity or by any person contracting with such governmental
10 entity as part of a governmentally adopted and controlled program to
11 provide urban mass transportation.

12 13. Groundwater measuring devices required under section 45-604.

13 14. Machinery and equipment consisting of agricultural aircraft,
14 tractors, off-highway vehicles, tractor-drawn implements, self-powered
15 implements, machinery and equipment necessary for extracting milk, and
16 machinery and equipment necessary for cooling milk and livestock, and drip
17 irrigation lines not already exempt under paragraph 7 of this subsection
18 and that are used for commercially producing agricultural, horticultural,
19 viticultural and floricultural crops and products in this state. For the
20 purposes of this paragraph:

21 (a) "Off-highway vehicles" means off-highway vehicles as defined in
22 section 28-1171 that are modified at the time of sale to function as a
23 tractor or to tow tractor-drawn implements and that are not equipped with
24 a modified exhaust system to increase horsepower or speed or an engine
25 that is more than one thousand cubic centimeters or that have a maximum
26 speed of fifty miles per hour or less.

27 (b) "Self-powered implements" includes machinery and equipment that
28 are electric-powered.

29 15. Machinery or equipment used in research and development. For
30 the purposes of this paragraph, "research and development" means basic and
31 applied research in the sciences and engineering, and designing,
32 developing or testing prototypes, processes or new products, including
33 research and development of computer software that is embedded in or an
34 integral part of the prototype or new product or that is required for
35 machinery or equipment otherwise exempt under this section to function
36 effectively. Research and development do not include manufacturing
37 quality control, routine consumer product testing, market research, sales
38 promotion, sales service, research in social sciences or psychology,
39 computer software research that is not included in the definition of
40 research and development, or other nontechnological activities or
41 technical services.

42 16. Tangible personal property that is used by either of the
43 following to receive, store, convert, produce, generate, decode, encode,
44 control or transmit telecommunications information:

45 (a) Any direct broadcast satellite television or data transmission
46 service that operates pursuant to 47 Code of Federal Regulations part 25.

1 (b) Any satellite television or data transmission facility, if both
2 of the following conditions are met:

3 (i) Over two-thirds of the transmissions, measured in megabytes,
4 transmitted by the facility during the test period were transmitted to or
5 on behalf of one or more direct broadcast satellite television or data
6 transmission services that operate pursuant to 47 Code of Federal
7 Regulations part 25.

8 (ii) Over two-thirds of the transmissions, measured in megabytes,
9 transmitted by or on behalf of those direct broadcast television or data
10 transmission services during the test period were transmitted by the
11 facility to or on behalf of those services.

12 For the purposes of subdivision (b) of this paragraph, "test period" means
13 the three hundred sixty-five day period beginning on the later of the date
14 on which the tangible personal property is purchased or the date on which
15 the direct broadcast satellite television or data transmission service
16 first transmits information to its customers.

17 17. Clean rooms that are used for manufacturing, processing,
18 fabrication or research and development, as defined in paragraph 15 of
19 this subsection, of semiconductor products. For the purposes of this
20 paragraph, "clean room" means all property that comprises or creates an
21 environment where humidity, temperature, particulate matter and
22 contamination are precisely controlled within specified parameters,
23 without regard to whether the property is actually contained within that
24 environment or whether any of the property is affixed to or incorporated
25 into real property. Clean room:

26 (a) Includes the integrated systems, fixtures, piping, movable
27 partitions, lighting and all property that is necessary or adapted to
28 reduce contamination or to control airflow, temperature, humidity,
29 chemical purity or other environmental conditions or manufacturing
30 tolerances, as well as the production machinery and equipment operating in
31 conjunction with the clean room environment.

32 (b) Does not include the building or other permanent, nonremovable
33 component of the building that houses the clean room environment.

34 18. Machinery and equipment that are used directly in feeding
35 poultry, environmentally controlling housing for poultry, moving eggs
36 within a production and packaging facility or sorting or cooling eggs.
37 This exemption does not apply to vehicles used for transporting eggs.

38 19. Machinery or equipment, including related structural components
39 and containment structures, that is employed in connection with
40 manufacturing, processing, fabricating, job printing, refining, mining,
41 natural gas pipelines, metallurgical operations, telecommunications,
42 producing or transmitting electricity or research and development and that
43 is used directly to meet or exceed rules or regulations adopted by the
44 federal energy regulatory commission, the United States environmental
45 protection agency, the United States nuclear regulatory commission, the
46 Arizona department of environmental quality or a political subdivision of
47 this state to prevent, monitor, control or reduce land, water or air

1 pollution. For the purposes of this paragraph, "containment structure"
2 means a structure that prevents, monitors, controls or reduces noxious or
3 harmful discharge into the environment.

4 20. Machinery and equipment that are used in commercially producing
5 livestock, livestock products or agricultural, horticultural, viticultural
6 or floricultural crops or products in this state, including production by
7 a person representing or working on behalf of such a person in a manner
8 described in section 42-5075, subsection ~~Q~~ P, if the machinery and
9 equipment are used directly and primarily to prevent, monitor, control or
10 reduce air, water or land pollution.

11 21. Machinery or equipment that enables a television station to
12 originate and broadcast or to receive and broadcast digital television
13 signals and that was purchased to facilitate compliance with the
14 telecommunications act of 1996 (P.L. 104-104; 110 Stat. 56; 47 United
15 States Code section 336) and the federal communications commission order
16 issued April 21, 1997 (47 Code of Federal Regulations part 73). This
17 paragraph does not exempt any of the following:

18 (a) Repair or replacement parts purchased for the machinery or
19 equipment described in this paragraph.

20 (b) Machinery or equipment purchased to replace machinery or
21 equipment for which an exemption was previously claimed and taken under
22 this paragraph.

23 (c) Any machinery or equipment purchased after the television
24 station has ceased analog broadcasting, or purchased after November 1,
25 2009, whichever occurs first.

26 22. Qualifying equipment that is purchased from and after June 30,
27 2004 through December 31, 2028 by a qualified business under section
28 41-1516 for harvesting or processing qualifying forest products removed
29 from qualifying projects as defined in section 41-1516. To qualify for
30 this exemption, the qualified business must obtain and present its
31 certification from the Arizona commerce authority at the time of purchase.

32 23. Machinery, equipment, materials and other tangible personal
33 property used directly and predominantly to construct a qualified
34 environmental technology manufacturing, producing or processing facility
35 as described in section 41-1514.02. This paragraph applies for ten full
36 consecutive calendar or fiscal years after the start of initial
37 construction.

38 24. Computer data center equipment sold to the owner, operator or
39 qualified colocation tenant of a computer data center that is certified by
40 the Arizona commerce authority under section 41-1519 or an authorized
41 agent of the owner, operator or qualified colocation tenant during the
42 qualification period for use in the qualified computer data center. For
43 the purposes of this paragraph, "computer data center", "computer data
44 center equipment", "qualification period" and "qualified colocation
45 tenant" have the same meanings prescribed in section 41-1519.

1 C. The exemptions provided by subsection B of this section do not
2 include:

3 1. Expendable materials. For the purposes of this paragraph,
4 expendable materials do not include any of the categories of tangible
5 personal property specified in subsection B of this section regardless of
6 the cost or useful life of that property.

7 2. Janitorial equipment and hand tools.

8 3. Office equipment, furniture and supplies.

9 4. Tangible personal property used in selling or distributing
10 activities, other than the telecommunications transmissions described in
11 subsection B, paragraph 16 of this section.

12 5. Motor vehicles required to be licensed by this state, except
13 buses or other urban mass transit vehicles specifically exempted pursuant
14 to subsection B, paragraph 12 of this section, without regard to the use
15 of such motor vehicles.

16 6. Shops, buildings, docks, depots and all other materials of
17 whatever kind or character not specifically included as exempt.

18 7. Motors and pumps used in drip irrigation systems.

19 8. Machinery and equipment or tangible personal property used by a
20 contractor in performing a contract.

21 D. The following shall be deducted in computing the purchase price
22 of electricity by a retail electric customer from a utility business:

23 1. Revenues received from sales of ancillary services, electric
24 distribution services, electric generation services, electric transmission
25 services and other services related to providing electricity to a retail
26 electric customer who is located outside this state for use outside this
27 state if the electricity is delivered to a point of sale outside this
28 state.

29 2. Revenues received from providing electricity, including
30 ancillary services, electric distribution services, electric generation
31 services, electric transmission services and other services related to
32 providing electricity with respect to which the transaction privilege tax
33 imposed under section 42-5063 has been paid.

34 E. The tax levied by this article does not apply to the purchase of
35 solar energy devices from a retailer that is registered with the
36 department as a solar energy retailer or a solar energy contractor.

37 F. The following shall be deducted in computing the purchase price
38 of electricity by a retail electric customer from a utility business:

39 1. Fees charged by a municipally owned utility to persons
40 constructing residential, commercial or industrial developments or
41 connecting residential, commercial or industrial developments to a
42 municipal utility system or systems if the fees are segregated and used
43 only for capital expansion, system enlargement or debt service of the
44 utility system or systems.

45 2. Reimbursement or contribution compensation to any person or
46 persons owning a utility system for property and equipment installed to
47 provide utility access to, on or across the land of an actual utility

1 consumer if the property and equipment become the property of the utility.
2 This deduction shall not exceed the value of such property and equipment.

3 G. The tax levied by this article does not apply to the purchase
4 price of electricity, natural gas or liquefied petroleum gas by:

5 1. A qualified manufacturing or smelting business. A utility that
6 claims this deduction shall report each month, on a form prescribed by the
7 department, the name and address of each qualified manufacturing or
8 smelting business for which this deduction is taken. This paragraph
9 applies to gas transportation services. For the purposes of this
10 paragraph:

11 (a) "Gas transportation services" means the services of
12 transporting natural gas to a natural gas customer or to a natural gas
13 distribution facility if the natural gas was purchased from a supplier
14 other than the utility.

15 (b) "Manufacturing" means the performance as a business of an
16 integrated series of operations that places tangible personal property in
17 a form, composition or character different from that in which it was
18 acquired and transforms it into a different product with a distinctive
19 name, character or use. Manufacturing does not include job printing,
20 publishing, packaging, mining, generating electricity or operating a
21 restaurant.

22 (c) "Qualified manufacturing or smelting business" means one of the
23 following:

24 (i) A business that manufactures or smelts tangible products in
25 this state, of which at least fifty-one percent of the manufactured or
26 smelted products will be exported out of state for incorporation into
27 another product or sold out of state for a final sale.

28 (ii) A business that derives at least fifty-one percent of its
29 gross income from the sale of manufactured or smelted products
30 manufactured or smelted by the business.

31 (iii) A business that uses at least fifty-one percent of its square
32 footage in this state for manufacturing or smelting and business
33 activities directly related to manufacturing or smelting.

34 (iv) A business that employs at least fifty-one percent of its
35 workforce in this state in manufacturing or smelting and business
36 activities directly related to manufacturing or smelting.

37 (v) A business that uses at least fifty-one percent of the value of
38 its capitalized assets in this state, as reflected on the business's books
39 and records, for manufacturing or smelting and business activities
40 directly related to manufacturing or smelting.

41 (d) "Smelting" means to melt or fuse a metalliferous mineral, often
42 with an accompanying chemical change, usually to separate the metal.

43 2. A business that operates an international operations center in
44 this state and that is certified by the Arizona commerce authority
45 pursuant to section 41-1520.

46 H. A city or town may exempt proceeds from sales of paintings,
47 sculptures or similar works of fine art if such works of fine art are sold

1 by the original artist. For the purposes of this subsection, fine art
2 does not include an art creation such as jewelry, macrame, glasswork,
3 pottery, woodwork, metalwork, furniture or clothing if the art creation
4 has a dual purpose, both aesthetic and utilitarian, whether sold by the
5 artist or by another person.

6 I. For the purposes of subsection B of this section:

7 1. "Agricultural aircraft" means an aircraft that is built for
8 agricultural use for the aerial application of pesticides or fertilizer or
9 for aerial seeding.

10 2. "Aircraft" includes:

11 (a) An airplane flight simulator that is approved by the federal
12 aviation administration for use as a phase II or higher flight simulator
13 under appendix H, 14 Code of Federal Regulations part 121.

14 (b) Tangible personal property that is permanently affixed or
15 attached as a component part of an aircraft that is owned or operated by a
16 certificated or licensed carrier of persons or property.

17 3. "Other accessories and related equipment" includes aircraft
18 accessories and equipment such as ground service equipment that physically
19 contact aircraft at some point during the overall carrier operation.

20 J. For the purposes of subsection D of this section, "ancillary
21 services", "electric distribution service", "electric generation service",
22 "electric transmission service" and "other services" have the same
23 meanings prescribed in section 42-5063.

24 Sec. 3. Repeal

25 Section 42-5159, Arizona Revised Statutes, as amended by Laws 2025,
26 chapter 251, section 13, is repealed.

27 Sec. 4. Section 43-1504, Arizona Revised Statutes, is amended to
28 read:

29 43-1504. Special provisions: corporate donations for
30 low-income scholarships; rules

31 A. A school tuition organization that receives contributions from a
32 corporation for the purposes of section 20-224.06 or 43-1183 must use at
33 least ninety percent of those contributions to provide educational
34 scholarships or tuition grants only to children whose family income does
35 not exceed one hundred eighty-five percent of the income limit required to
36 qualify a child for reduced-price lunches under the national school lunch
37 and child nutrition acts (42 United States Code sections 1751 through
38 1793) and to whom any of the following applies:

39 1. Attended a governmental primary or secondary school as a
40 full-time student as defined in section 15-901 or attended a preschool
41 program that offers services to students with disabilities at a
42 governmental school for at least ninety days of the prior fiscal year or
43 one full semester and transferred from a governmental school to a
44 qualified school.

45 2. Enroll in a qualified school in a kindergarten program or a
46 preschool program that offers services to students with disabilities.

1 3. Are the dependent of a member of the armed forces of the United
2 States who is stationed in this state pursuant to military orders.
3 4. Are homeschooled before enrolling in a qualified school.
4 5. Moved to this state from out of state before enrolling in a
5 qualified school.
6 6. Participated in an Arizona empowerment scholarship account and
7 did not renew the account or accept the scholarship in order to accept a
8 scholarship or tuition grant under this section.
9 7. Subject to subsection G of this section, are placed in foster
10 care pursuant to title 8, chapter 4 at any time before ~~the student~~
11 ~~graduates~~ GRADUATING from high school or ~~obtains~~ OBTAINING a general
12 equivalency diploma and who meet all of the following criteria:
13 (a) Are unable to attend a governmental primary or secondary school
14 as a full-time student as defined in section 15-901. For the purposes of
15 this subdivision, "unable to attend" means the student has been expelled
16 or asked not to return due to the student's behavior or the school is not
17 able to provide necessary services to the student.
18 (b) Have not attended a governmental primary or secondary school as
19 a full-time student as defined in section 15-901 for at least ninety days
20 of the prior fiscal year or one full semester before enrolling in a
21 qualified school.
22 (c) The qualified school in which the ~~students~~ CHILDREN are
23 enrolling is only considered because a governmental primary or secondary
24 school cannot meet the students' unique needs, such as severe medical or
25 behavioral needs that require specialized programs.
26 (d) Are unable to receive other scholarships or tuition grants
27 under this chapter or chapter ~~15~~ 16 of this title in an amount that is
28 equal to the cost of tuition to attend the qualified school.
29 8. Received an educational scholarship or tuition grant under
30 paragraph 1, 2, 3, 4, 5, 6 or 7 of this subsection or chapter 16, article
31 1 of this title if the children continue to attend a qualified school in a
32 subsequent year.
33 B. A child is eligible to receive an educational scholarship or
34 tuition grant under subsection A of this section if the child meets the
35 criteria to receive a reduced-price lunch but does not actually claim that
36 benefit.
37 C. In 2021, a school tuition organization shall not issue an
38 educational scholarship or a tuition grant for the purposes of section
39 20-224.06 or 43-1183 in an amount that exceeds \$5,600 for students who are
40 in a kindergarten program, a preschool program that offers services to
41 students with disabilities or grades one through eight or \$7,500 for
42 students who are in grades nine through twelve. In each year after 2021,
43 the limit amount for a scholarship or a grant under this subsection shall
44 be increased by \$200.

1 D. A school tuition organization shall require that student
2 beneficiaries use the educational scholarships or tuition grants on a
3 full-time basis. If a child leaves the school before completing an entire
4 school year, the school shall refund a prorated amount of the educational
5 scholarship or tuition grant to the school tuition organization that
6 issued the scholarship or grant. The school tuition organization shall
7 allocate any refunds it receives under this subsection for educational
8 scholarships or tuition grants.

9 E. Students who receive an educational scholarship or tuition grant
10 under this section shall be allowed to attend any qualified school of
11 their parents' choice.

12 F. The department of revenue, with the cooperation of the
13 department of insurance and financial institutions, shall adopt rules and
14 publish and prescribe forms and procedures necessary to administer this
15 section.

16 G. If a court of competent jurisdiction issues a final judgment
17 that the aggregate tax credit limit prescribed in section 43-1183,
18 subsection C, paragraph 1 is unenforceable and that judgment is no longer
19 subject to further appeal or review, a school tuition organization shall
20 not issue an educational scholarship or a tuition grant under subsection
21 A, paragraph 7 or 8 of this section for children who received an
22 educational scholarship or a tuition grant under subsection A, paragraph 7
23 of this section.

24 ~~<<Sec. 5. Section 44-321, Arizona Revised Statutes, is amended to~~
25 ~~read:~~

26 ~~44-321. Periods of limitation~~

27 ~~A. The expiration of a period of limitation on the owner's right to~~
28 ~~receive or recover property, whether specified by contract, statute or~~
29 ~~court order, does not preclude the property from being presumed abandoned~~
30 ~~or affect a duty to file a report or to pay or deliver or transfer~~
31 ~~property to the department as required by this chapter.~~

32 ~~B. An individual, corporation, business association or other~~
33 ~~organization may not act through an amendment of articles of~~
34 ~~incorporation, an amendment of bylaws, a private agreement or any other~~
35 ~~means to do any of the following:~~

36 ~~1. Take or divert monies or personal property into income.~~

37 ~~2. Divide monies or personal property among patrons or stockholders~~
38 ~~that are able to be located.~~

39 ~~3. Divert monies or personal property by any other method for the~~
40 ~~purpose of circumventing the unclaimed property process.~~

41 ~~C. The department shall not begin an action or proceeding to~~
42 ~~enforce this chapter in regard to the reporting, delivery or payment of~~
43 ~~property more than four years after the holder identified the property in~~
44 ~~a report filed with the department or gave express notice to the~~
45 ~~department of a dispute regarding the property. If a holder omits from a~~
46 ~~report any amount of property that is properly includible and that is in~~
47 ~~excess of twenty-five percent of the amount of property stated in the~~

1 ~~report, the department may begin an action or proceeding to enforce this~~
2 ~~chapter at any time within six years after the report was filed. If there~~
3 ~~is no report or other express notice FILED BY THE HOLDER, the period of~~
4 ~~limitation is tolled. The period of limitation is also tolled if the~~
5 ~~holder IS EXPRESSLY NOTIFIED BY THE DEPARTMENT THAT THE HOLDER IS UNDER~~
6 ~~AUDIT OR IF THE HOLDER files a fraudulent report.>>~~

7 Enroll and engross to conform
8 Amend title to conform
And, as so amended, it do pass

JUSTIN OLSON
CHAIRMAN

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